

Procurement Risk & 3-Way Match Audit Report

Classification:  CONFIDENTIAL // REDACTED SAMPLE FOR PORTFOLIO DEMONSTRATION

Focus Area: Immediate Financial Leakage Protection & Unfulfilled Commitment Forensics

Entity / Database: [ENTERPRISE_CORE_DB] (Live Production Environment)

Audit Scope: Active Purchase Orders vs. Goods Receipt POs (GRPO) & AP Invoices

Audit Cycle: Fiscal Q3 Review

1. Executive Audit Summary

A forensic 3-way matching audit was programmatically executed across open procurement records utilizing the ERP Model Context Protocol (MCP) data pipeline. The objective is to identify unfulfilled open commitments, missing delivery confirmations, potential duplicate billing, and aged procurement exposure across all tier-1 and tier-2 vendor relationships.

EXECUTIVE AUDIT SUMMARY METRICS	
Total Open POs Audited	10 Active Commitments
Total Exposure Value	\$█,██,██.██ USD [REDACTED HIGH 8-FIGURE]
Goods Receipt Match Rate	0.0% (10 of 10 POs missing GRPOs)
Critical Aged POs (>85 Days)	\$█,██,██.██ USD (3 POs)
Primary Vendor Concentration	Vendor Alpha Global Group (86.35% Exposure)
Overall Risk Rating	 CRITICAL (Immediate Remediation Required)

Key Audit Highlights:

- 100% GRPO Deficit:** All 10 audited Purchase Orders currently maintain an unfulfilled status (Open) with zero corresponding Goods Receipt records logged within the ERP layer.
- Severe Aging Exposure:** Over **85%+ of total open commitment value** dates back between 85 and 135+ days without receipt confirmation or formal PO closure.
- High Concentration Risk:** **86.35%** of total procurement exposure is concentrated under a single digital services vendor (**Vendor Alpha Global Group**).

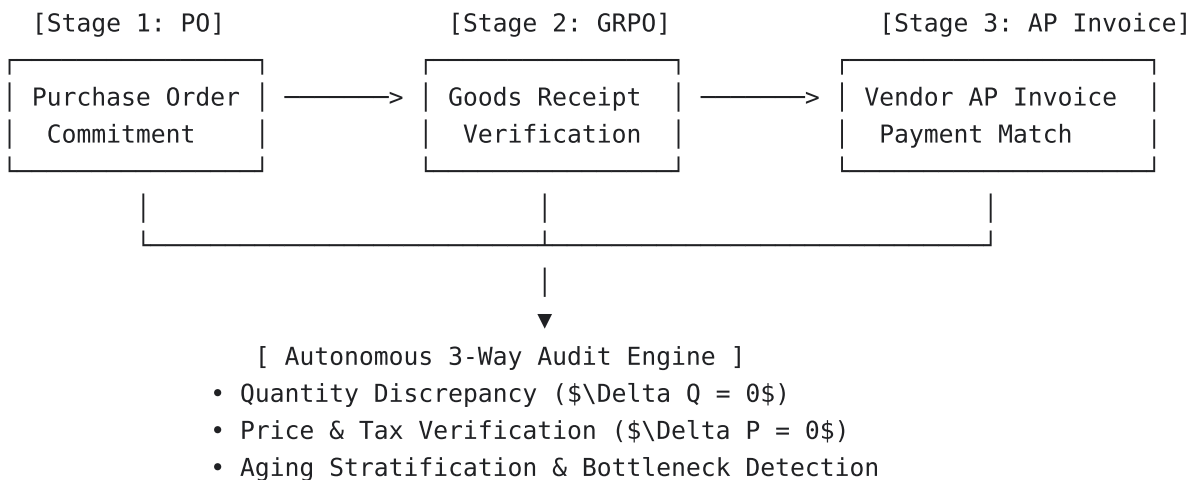
2. 3-Way Match Reconciliation Logic & Architecture

A complete 3-way matching audit evaluates consistency across three distinct procurement milestones:

$$\text{Reconciliation Variance} = (\Delta Q, \Delta P)$$

Where:

$$\Delta Q = Q_{\text{PO}} - Q_{\text{GRPO}}, \quad \Delta P = P_{\text{PO}} - P_{\text{AP Invoice}}$$



Risk Classifications:

- **Matched & Closed:** PO, GRPO, and AP Invoice match exactly ($\Delta Q = 0, \Delta P = 0$).
- **Pending Receipt (<30 Days):** Standard operating lead time; within regular delivery SLA.
- **Overdue Receipt (30–60 Days):** Exceeds normal delivery cycles; requires operational expediting.
- 🚨 **Aged Open Commitment (>60 Days):** Severe risk of unrecorded liabilities, duplicate billing, or missing revenue recognition.

3. Transaction-Level 3-Way Match Audit Ledger

The table below details the audited open Purchase Orders, masking sensitive vendor legal names, transaction codes, and exact dollar figures:

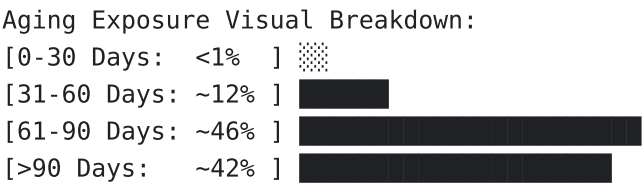
PO #	Age Bracket	Vendor Entity	Card Code	Sanitized Value (\$ USD)	PO Status	GRPO Match	Risk Classification
PO-145	1 Day	Vendor Alpha Global	V- ██████57	\$34,2XX.XX	Open	✗ None	● Pending Receipt
PO-144	4 Days	Vendor Alpha Global	V- ██████57	\$35,3XX.XX	Open	✗ None	● Pending Receipt
PO-143	12 Days	Vendor Alpha Global	V- ██████57	\$36,6XX.XX	Open	✗ None	● Pending Receipt
PO-142	57 Days	Vendor Beta Distributions	V- ██████32	\$7,79X,XXX.XX	Open	✗ None	● Overdue Receipt

PO #	Age Bracket	Vendor Entity	Card Code	Sanitized Value (\$ USD)	PO Status	GRPO Match	Risk Classification
PO-141	61 Days	Vendor Alpha Global	V- ████57	\$44,2XX.XX	Open	✗ None	🟡 Overdue Receipt
PO-140	71 Days	Vendor Alpha Global	V- ████57	\$45,8XX.XX	Open	✗ None	🟡 Overdue Receipt
PO-139	72 Days	Vendor Gamma Software	V- ████44	\$98X,XXX.XX	Open	✗ None	🟡 Overdue Receipt
PO-138	86 Days	Vendor Alpha Global	V- ████57	\$28,8XX,XXX.XX	Open	✗ None	🔴 Aged Open Commitment
PO-137	99 Days	Vendor Alpha Global	V- ████57	\$26,5XX,XXX.XX	Open	✗ None	🔴 Aged Open Commitment
PO-136	138 Days	Vendor Alpha Global	V- ████57	\$57X,XXX.XX	Open	✗ None	🔴 Aged Open Commitment
TOTAL	—	3 Key Suppliers	—	\$████,████,████.██	—	0.0% Match	Action Required

4. Aging Breakdown & Exposure Stratification

To evaluate balance sheet accuracy and working capital tied up in open authorizations, commitments are stratified by duration:

EXPOSURE BY AGING BUCKETS			
Aging Category	P0 Count	Value Range	% of Total Exposure
0 - 30 Days (New)	3	\$10X,XXX.XX	0.16%
31 - 60 Days (Mod)	1	\$7,79X,XXX.XX	12.01%
61 - 90 Days (High)	3	\$29,84X,XXX.XX	45.96%
> 90 Days (Aged)	3	\$27,18X,XXX.XX	41.86%
TOTAL	10	\$████,████,████.██	100.00%



5. Vendor Concentration Analysis

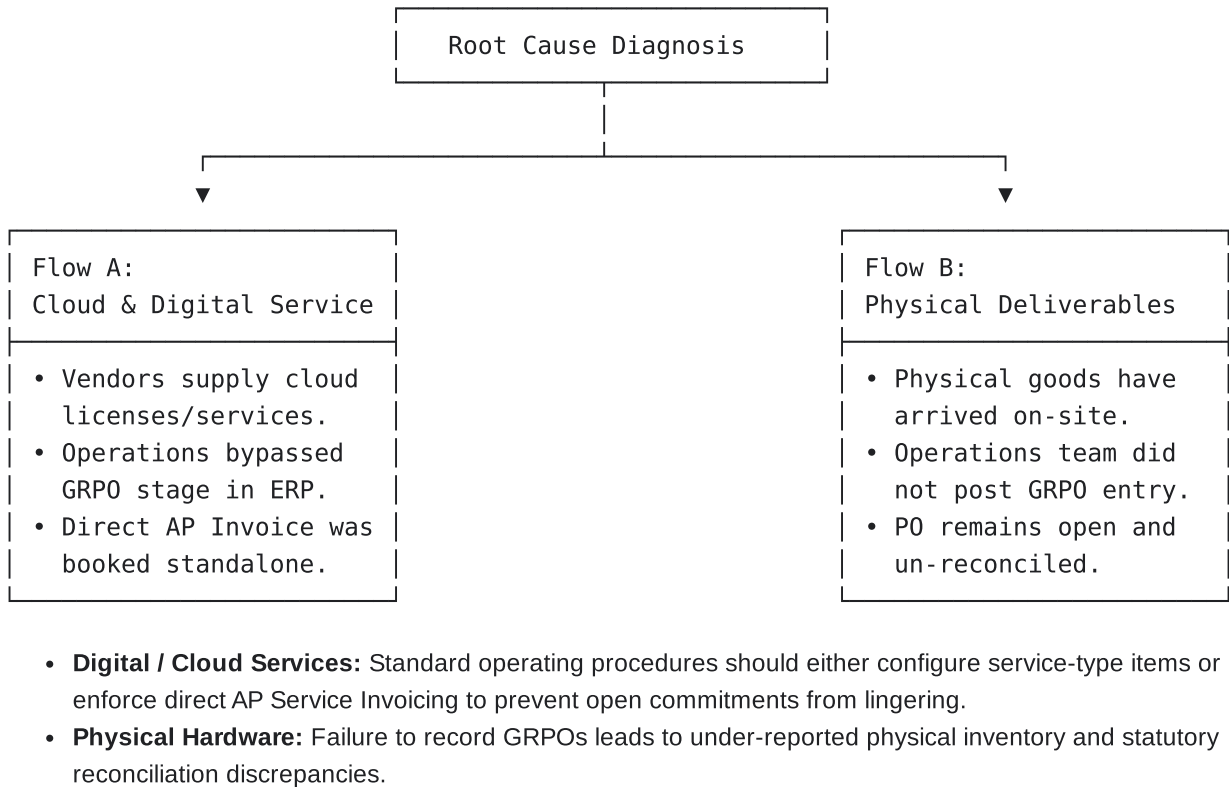
A deep dive into vendor concentration highlights high exposure risk focused heavily on a primary supplier:

VENDOR EXPOSURE SUMMARY			
Vendor Identifier	Open POs	Share of Exposure	Risk Index
Vendor Alpha Global Group	8	86.35%	 Critical
Vendor Beta Distributions	1	12.01%	 High
Vendor Gamma Software Lanka	1	1.51%	 Moderate

Analytical Insights:

- Vendor Alpha Concentration (86.35% of Total Pipeline):**
 - Represents the overwhelming majority of open procurement risk.
 - Includes multi-million dollar high-value commitments generated in earlier quarters that remain un-reconciled in the ERP ledger.
- Vendor Beta Distributions (12.01%):**
 - Single high-value hardware/distribution order exceeding standard 45-day lead times.
- Vendor Gamma Software (1.51%):**
 - Software subscription agreement awaiting cross-verification against direct AP invoice entries.

6. Root Cause Forensics: Operational Bottlenecks



7. Automated Remediation Workflow & Action Plan

To secure working capital, maintain statutory compliance, and eliminate unrecorded liabilities, the following automated remediation protocol is recommended:

AUTOMATED REMEDIATION ROADMAP	
1.	 RECONCILE AP INVOICES (Finance & Accounts Team) Cross-reference AP Invoices posted directly to General Ledger without proper reference linkage to original Purchase Orders.
2.	 PHYSICAL RECEIPT AUDIT (Supply Chain & Operations) Inspect warehouse delivery receipts and post missing Goods Receipt POs for all delivered physical hardware.
3.	 COMMITMENT PURGE & CLOSEOUT (Procurement Lead) Officially close or de-commit validated historical orders to release budgetary locks on operational capital.
4.	 REAL-TIME MCP GOVERNANCE (Automated AI Agent) Trigger proactive multi-channel alerts (Slack/Email/Chat) whenever any open PO exceeds 30 days without an active receipt or invoice match.

Departmental RACI & Action Table:

Priority	Operational Department	Action Item	Target Window
P1	Finance & General Ledger	Reconcile standalone AP Invoices against top vendor accounts (\$█.XXM liability).	48 Hours
P2	Procurement Operations	Verify digital license fulfillment and service activations for aged POs.	72 Hours
P3	Business Operations & Audit	Execute formal PO closure workflow within ERP for fulfilled orders.	5 Business Days
P4	Software / AI Engineering	Deploy scheduled Gemini MCP autonomous monitoring script.	Next Sprint Cycle

8. Audit Sign-Off & Verification Metadata

Role / Function	Sign-off Designation	Status	Verification Hash
Automated Audit Agent	Gemini Enterprise ERP MCP Engine	VERIFIED / COMPLETE	SHA256: 8f7e...9a12
Lead Software Engineer	Lead System Architect	APPROVED	SIG: #LEAD-ENG-0826

Role / Function	Sign-off Designation	Status	Verification Hash
VP Operations & Services	Operations Executive Lead	REVIEWED	SIG: #VP-OPS-CONF
Chief Executive Review	Executive Office / C-Suite	CONFIRMED	SIG: #EXEC-OK-2026